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## Hesai Group | Asia Pacific

## 2Q26 mixed; SGI the bright spot

## AlphaSignals Earnings Reaction

|                                          |                                                      |                                                                      |
|------------------------------------------|------------------------------------------------------|----------------------------------------------------------------------|
| <b>Unchanged</b><br>Impact to our thesis | <b>In-line</b><br>Financial results versus consensus | <b>Largely unchanged</b><br>Direction of next 12-month consensus EPS |
|------------------------------------------|------------------------------------------------------|----------------------------------------------------------------------|

Source: Company data, Morgan Stanley Research

## Key Takeaways

- Management targets revenue Rmb1100-1150mn for 3Q26, up 38-45% YoY.
- Management has raised its revenue target for SGI (robotic actuators and Kosmo) to Rmb200-300mn in 2026 (from Rmb100mn)...
- ...and to US\$100mn in 2027 (~Rmb674mn from Rmb500mn).
- Hesai won more LiDAR projects from JV brands (GAC Toyota and VW China).
- Investors will keep an eye on Hesai's updates on full-year profit guidance (Rmb500-700mn) – and, more importantly, SGI project breakthrough as a structural driver.

**Non-op gains saved 2Q26:** Hesai reported 2Q26 GAAP net profit of Rmb71mn, up 60% YoY, largely in line with reduced market expectations. GpM of 40.1% (+1.0ppt QoQ) met guidance while higher R&D expense curbed operating profit (-90% YoY) to Rmb2mn in 2Q. Higher non-op income, driven mainly by a Rmb37mn investment gain and Rmb38mn higher YoY interest income, lifted 2Q earnings.

**2Q26 total LiDAR shipments of 628k (or cumulative 1.1mn in 1H) grew 78% YoY and 33% QoQ:** That fell slightly shy of previous guidance of 650K units, likely constrained by weaker 2Q production volume at its major customers, such as Li Auto (-12% YoY) and Xiaomi (-6% YoY). On the bright side, robotics LiDAR volume was strong, growing 193% YoY in 2Q, to 142K units, surpassing its peer.

**ASP trends were slightly better than feared:** 2Q26 revenue grew 22% YoY and 26% QoQ, to Rmb861mn, implying that blended LiDAR ASP declined only 5% QoQ, to Rmb1.4K. Combined with an improving GpM, this suggests a more favorable sales mix and/or moderating price competition.

MORGAN STANLEY ASIA LIMITED+

Tim Hsiao

Equity Analyst

Tim.Hsiao@morganstanley.com

+852 2848-1982

Peggy Wang

Research Associate

Peggy.Pc.Wang@morganstanley.com

+852 3963-3934

Shelley Wang, CFA

Equity Analyst

Shelley.Wang@morganstanley.com

+852 3963-0047

Joey Xu, CFA

Equity Analyst

Joey.Xu@morganstanley.com

+852 3963-0337

## Asia Summer School 2026

## Hesai Group (HSAI.O, HSAI.US)

China Autos &amp; Shared Mobility | China

|                                 |                   |
|---------------------------------|-------------------|
| <b>Stock Rating</b>             | <b>Overweight</b> |
| <b>Industry View</b>            | <b>In-Line</b>    |
| Price target                    | US\$30.00         |
| Up/downside to price target (%) | 66                |
| Shr price, close (Aug 17, 2026) | US\$18.07         |
| 52-Week Range                   | US\$30.85-14.29   |
| Sh out, dil, curr (mn)          | 146               |
| Mkt cap, curr (mn)              | Rmb17,835         |
| EV, curr (mn)                   | Rmb10,958         |
| Avg daily trading value (mn)    | US\$51            |

| Fiscal Year Ending         | 12/25  | 12/26e | 12/27e | 12/28e |
|----------------------------|--------|--------|--------|--------|
| EPS (Rmb)**                | 3.13   | 5.73   | 9.90   | 13.59  |
| Revenue, net (Rmb mn)      | 3,028  | 4,278  | 6,076  | 7,977  |
| EBITDA (Rmb mn)            | 293    | 771    | 1,383  | 1,968  |
| ModelWare net inc (Rmb mn) | 436    | 797    | 1,377  | 1,891  |
| P/E                        | 52.6   | 22.4   | 13.0   | 9.4    |
| P/BV                       | 2.6    | 1.8    | 1.6    | 1.4    |
| RNOA (%)                   | 10.1   | 22.6   | 63.0   | 175.2  |
| ROE (%)                    | 11.1   | 8.9    | 14.1   | 17.0   |
| EV/EBITDA                  | 54.9   | 12.4   | 5.4    | 2.9    |
| Div yld (%)                | 0.0    | 0.0    | 0.0    | 0.0    |
| FCF yld ratio (%)**        | (24.6) | 8.0    | 11.6   | 10.3   |
| Leverage (EOP) (%)         | (44.0) | (55.0) | (66.8) | (71.2) |

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

\*\* = Based on consensus methodology

e = Morgan Stanley Research estimates

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## Valuation Methodology and Risks

### Hesai Group (HSAI.O)

Base case, discounted cash flow valuation. Our key assumptions include a 11.2% WACC and a 3% terminal growth rate.

#### Risks to Upside

- Market share gain from global peers
- Faster-than-expected adoption of LiDARs by traditional OEMs
- Sustainable pricing power from product strength and manufacturing edge

#### Risks to Downside

- Slower adoption of LiDARs or faster ASP decline as OEMs cut costs amid price reductions
- Potential threat of substitution from emerging technologies.
- Shifts in LiDAR technology standards away from Hesai's current specs

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|-----------------------|-------------------|------------|----------------------------------|----------------|----------------------|---------------------------------------------------|-----------------------|
|                       | Count             | % of Total | Count                            | % of Total IBC | % of Rating Category | Count                                             | % of Total Other MISC |
| Overweight/Buy        | 1529              | 42%        | 442                              | 47%            | 29%                  | 750                                               | 43%                   |
| Equal-weight/Hold     | 1582              | 43%        | 396                              | 42%            | 25%                  | 773                                               | 44%                   |
| Not-Rated/Hold        | 3                 | 0%         | 1                                | 0%             | 33%                  | 1                                                 | 0%                    |
| Underweight/Sell      | 560               | 15%        | 97                               | 10%            | 17%                  | 217                                               | 12%                   |
| Total                 | 3,674             |            | 936                              |                |                      | 1741                                              |                       |

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## Stock Price, Price Target and Rating History (See Rating Definitions)

Hesai Group (HSAI.O) - As of 08/18/26 GMT in USD  
Industry : China Autos & Shared Mobility



Stock Rating History: 3/7/23 : 0/I; 1/13/25 : E/I; 7/28/25 : 0/I

Price Target History: 3/7/23 : 26.5; 8/16/23 : 15.5; 8/7/24 : 5.8; 1/13/25 : 15; 5/27/25 : 23; 7/28/25 : 26; 10/13/25 : 35; 3/26/26 : 30

Source: Morgan Stanley Research

Date Format : MM/DD/YY

Price Target ---

No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

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## INDUSTRY COVERAGE: China Autos & Shared Mobility

| COMPANY (TICKER)                                     | RATING (AS OF) | PRICE* (08/18/2026) |
|------------------------------------------------------|----------------|---------------------|
| <b>Joey Xu, CFA</b>                                  |                |                     |
| Anhui Jianghuai Automobile (600418.SS)               | E (08/19/2023) | Rmb22.14            |
| BAIC Motor (1958.HK)                                 | E (10/02/2025) | HK\$0.81            |
| Brilliance China Automotive (1114.HK)                | E (03/31/2025) | HK\$2.24            |
| Chongqing Changan Automobile (000625.SZ)             | E (03/03/2026) | Rmb7.13             |
| Guangzhou Automobile Group (601238.SS)               | U (10/23/2019) | Rmb5.10             |
| Guangzhou Automobile Group (2238.HK)                 | O (05/05/2020) | HK\$2.19            |
| Huayu Automotive (600741.SS)                         | O (09/08/2020) | Rmb15.32            |
| Jiangsu Changshu Automotive Trim Group (603035.SS)   | E (08/14/2023) | Rmb11.11            |
| Ningbo Huaxiang Electronic Co., Ltd. (002048.SZ)     | E (05/05/2026) | Rmb20.38            |
| SAIC Motor Corp. Ltd. (600104.SS)                    | O (11/25/2021) | Rmb10.01            |
| Voyah Automotive Technology Co. Ltd. (7489.HK)       | O (03/31/2026) | HK\$2.83            |
| Zhengzhou Yutong Bus Co (600066.SS)                  | E (09/22/2023) | Rmb29.59            |
| <b>Shelley Wang, CFA</b>                             |                |                     |
| Beijing Jingwei Hirain Technologies (688326.SS)      | U (09/27/2024) | Rmb66.08            |
| Bethel Automotive Safety Systems Co Ltd (603596.SS)  | O (12/11/2023) | Rmb26.08            |
| Changzhou Xingyu Automotive Lighting Sys (601799.SS) | O (09/27/2024) | Rmb92.81            |
| China MeiDong Auto Holdings Ltd (1268.HK)            | U (07/10/2026) | HK\$0.38            |
| China Yongda Automobiles Services (3669.HK)          | U (07/10/2026) | HK\$0.85            |
| Foryou Corporation (002906.SZ)                       | O (03/06/2024) | Rmb25.66            |
| Fuyao Glass Industry Group (600660.SS)               | E (12/01/2016) | Rmb56.16            |
| Fuyao Glass Industry Group (3606.HK)                 | E (12/01/2016) | HK\$56.75           |
| Huizhou Desay SV Automotive Co Ltd (002920.SZ)       | O (02/28/2025) | Rmb89.09            |
| Keboda (603786.SS)                                   | O (01/17/2024) | Rmb42.52            |
| Minth Group Limited (0425.HK)                        | O (08/24/2015) | HK\$28.42           |
| NavInfo Co Ltd (002405.SZ)                           | U (03/06/2024) | Rmb6.40             |
| Nexteer Automotive Group (1316.HK)                   | E (02/28/2025) | HK\$5.37            |
| Ningbo Joyson Electronic Corp (600699.SS)            | E (03/11/2026) | Rmb21.10            |

|                                                  |                |           |
|--------------------------------------------------|----------------|-----------|
| Ningbo Tuopu Group Co Ltd (601689.SS)            | E (11/12/2025) | Rmb51.10  |
| Ningbo Xusheng Group Co Ltd (603305.SS)          | E (06/18/2025) | Rmb11.98  |
| Suzhou Recodeal Interconnect System (688800.SS)  | O (07/02/2026) | Rmb63.70  |
| TUHU Car Inc (9690.HK)                           | O (07/29/2024) | HK\$11.72 |
| Zhejiang Sanhua Intelligent Controls (002050.SZ) | E (11/12/2025) | Rmb39.60  |
| Zhongsheng Group Holdings (0881.HK)              | E (07/10/2026) | HK\$4.40  |
| <b>Tim Hsiao</b>                                 |                |           |
| BAIC BluePark New Energy (600733.SS)             | U (08/07/2024) | Rmb5.16   |
| BYD Company Limited (002594.SZ)                  | O (04/14/2025) | Rmb89.53  |
| BYD Company Limited (1211.HK)                    | O (04/14/2025) | HK\$90.00 |
| EHang Holdings Ltd (EH.O)                        | O (03/13/2025) | US\$5.71  |
| Geely Automobile Holdings (0175.HK)              | O (06/26/2024) | HK\$18.26 |
| Great Wall Motor Company Limited (601633.SS)     | U (03/16/2022) | Rmb15.33  |
| Great Wall Motor Company Limited (2333.HK)       | E (01/08/2024) | HK\$8.34  |
| Hesai Group (HSAI.O)                             | O (07/28/2025) | US\$18.07 |
| Horizon Robotics (9660.HK)                       | O (12/02/2024) | HK\$4.72  |
| Li Auto Inc. (LI.O)                              | O (08/24/2020) | US\$12.41 |
| Li Auto Inc. (2015.HK)                           | O (11/16/2021) | HK\$47.88 |
| NIO Inc. (9866.HK)                               | O (10/03/2022) | HK\$35.66 |
| NIO Inc. (NIO.N)                                 | O (08/26/2020) | US\$4.60  |
| WeRide Inc (WRD.O)                               | O (11/19/2024) | US\$6.08  |
| XPeng Inc. (9868.HK)                             | O (11/16/2021) | HK\$47.26 |
| XPeng Inc. (XPEV.N)                              | O (01/29/2021) | US\$12.20 |

Stock Ratings are subject to change. Please see latest research for each company.

\* Historical prices are not split adjusted.